

Mphasis Limited

Annual Report FY2024 (Summary)

For the financial year ended March 31, 2024

Registered Office: Bagmane World Technology Center, Marathahalli Outer Ring Road, Doddanakhundi Village, Mahadevapura, Bengaluru 560048, India

BSE: 526299 | NSE: MPHASIS

This document is a summary in annual-report format, compiled from the company's audited consolidated financial results, results press release and investor fact sheet. It is not the company's official annual report. All Rs figures are converted from Rs million to Rs crore and rounded, so totals may differ by 1. 'n.d.' means the figure was not disclosed in the sources used.

Year in Review

Mphasis faced a softer year in FY2024. Revenue from operations declined 3.8% to Rs 13,279 crore, and gross revenue was USD 1,610 million, down 6.3% in dollar terms and 6.5% in constant currency. Net profit declined 5.1% to Rs 1,555 crore, with net margin at 11.7% versus 11.9%.

The decline came mainly from Banking and Financial Services, the largest segment, which fell 13.3%. Other segments were more resilient: Technology, Media and Telecom grew 9.5% and the Others segment grew 17.8%. The company also made four acquisitions during the year, the largest being Sonnick Partners for USD 122 million.

New deal wins (TCV) in the Direct business were USD 1.38 billion. In the results release, CEO Nitin Rakesh pointed to "strong growth momentum in Artificial Intelligence (AI) powered deal archetypes". The Board recommended a dividend of Rs 55 per share, up from Rs 50.

Company Overview

Mphasis is an IT solutions provider specialising in cloud and cognitive services, with its "Front2Back" transformation approach aimed at large enterprises. The company was incorporated in 1992 and is headquartered in Bengaluru. At the end of FY2024 it had 32,664 employees.

Revenue is concentrated in the Americas (80% of gross revenue) and in financial services. The business is reported in five segments: Banking and Financial Services, Insurance, Technology Media and Telecom, Logistics and Transportation, and Others (including healthcare, manufacturing and retail). By service type, Application Services contributed 71% of revenue.

Financial Highlights FY2024

Metric	FY2024	FY2023	Change
Revenue from Operations (Rs Crore)	13,279	13,798	-3.8%
Gross Revenue (USD Million)	1,609.5	1,717.7	-6.3%
Net Profit (Rs Crore)	1,555	1,638	-5.1%
EBITDA (Rs Crore)	2,422	2,434	-0.5%
EBITDA Margin (%)	18.2%	17.6%	+0.6 pp
Operating (EBIT) Margin (%)	15.1%	15.3%	-0.2 pp
Net Profit Margin (%)	11.7%	11.9%	-0.2 pp
Basic EPS (Rs)	82.42	87.05	-5.3%
Free Cash Flow (CFO less capex, Rs Crore)	2,086	1,349	+54.7%
Return on Equity (PAT / closing equity, %)	17.7%	20.6%	-2.9 pp
New Deal Wins TCV, Direct (USD Billion)	1.38	n.d.	n.d.
Headcount	32,664	34,042	-4.0%

EBITDA is operating profit plus depreciation and amortisation, matching the company's reported EBITDA margin. Attrition and the FY2023 TCV comparable were not in the sources used. Free cash flow and ROE are computed here from the audited statements.

Revenue by Geography (Rs Crore, gross revenue)

Geography	FY2024	FY2023	% of FY2024
Americas	10,717	11,320	80.4%
EMEA	1,500	1,397	11.2%
India	749	709	5.6%
Rest of World	369	418	2.8%
Total	13,334	13,843	100%

Geographic revenue is gross revenue, before the loss on cash flow hedges reclassified to revenue (Rs 55 crore in FY2024, Rs 44 crore in FY2023).

Revenue by Business Segment (Rs Crore)

Segment	FY2024	FY2023	Growth
Banking and Financial Services	6,342	7,318	-13.3%
Technology, Media and Telecom	2,130	1,945	+9.5%
Logistics and Transportation	1,829	1,841	-0.7%
Insurance	1,457	1,401	+4.0%
Others	1,576	1,338	+17.8%
Unallocated - hedge	-55	-44	-24.7%
Total	13,279	13,798	-3.8%

Effective April 1, 2023, certain customers were regrouped among segments; FY2023 figures are restated.

Consolidated Income Statement (Rs Crore)

Particulars	FY2024	FY2023
Revenue from Operations	13,279	13,798
Other Income	218	162
Total Income	13,496	13,960
Employee Benefit Expenses	7,925	8,076
Other Expenses	2,931	3,289
Finance Costs	161	97
Depreciation and Amortisation	410	325
Total Expenses	11,428	11,787
Profit Before Tax	2,068	2,173
Tax Expense	514	535
Net Profit After Tax	1,555	1,638
Other Comprehensive Income	130	63
Total Comprehensive Income	1,684	1,701
Basic EPS (Rs)	82.42	87.05
Diluted EPS (Rs)	81.83	86.37

Consolidated Balance Sheet as of March 31 (Rs Crore)

Particulars	FY2024	FY2023
ASSETS		
Property, Plant and Equipment (incl. CWIP)	210	230
Right-of-Use Assets	725	747
Goodwill	4,179	2,959
Other Intangible Assets (incl. under development)	480	156

Particulars	FY2024	FY2023
Non-current Investments	497	385
Other Non-current Assets	1,407	1,179
Total Non-current Assets	7,498	5,656
Current Investments	2,593	1,368
Trade Receivables	2,426	2,521
Cash and Cash Equivalents	805	1,044
Other Current Assets	809	1,020
Total Current Assets	6,632	5,953
TOTAL ASSETS	14,130	11,609
EQUITY AND LIABILITIES		
Share Capital	189	188
Other Equity	8,606	7,746
Total Equity	8,795	7,935
Borrowings	1,544	198
Lease Liabilities	845	854
Trade Payables	798	864
Other Liabilities and Provisions	2,149	1,758
Total Liabilities	5,336	3,675
TOTAL EQUITY AND LIABILITIES	14,130	11,609

Consolidated Cash Flow Statement (Rs Crore)

Particulars	FY2024	FY2023
Profit Before Tax	2,068	2,173
Depreciation and Amortisation	410	325
Other Non-cash Adjustments	-112	134
Working Capital Changes	403	-578
Income Tax Paid	-590	-593
Net Cash from Operating Activities	2,180	1,462
Capital Expenditure	-94	-113
Payment for Acquisitions (net of cash acquired)	-1,233	0
Net Purchase/Sale of Investments	-1,190	135
Interest, Deposits and Other	35	160
Net Cash from Investing Activities	-2,482	182
Net Borrowings Availed/(Repaid)	1,296	-356
Dividend Paid	-943	-865
Lease Payments (incl. interest)	-223	-197
Share Issue, Interest and Other	-53	-22
Net Cash from Financing Activities	77	-1,440
Net Increase/(Decrease) in Cash	-225	204
Exchange Rate Effect	-14	13
Opening Cash Balance	1,044	827
Closing Cash Balance	805	1,044

Management Discussion and Analysis

Revenue Performance: Revenue from operations fell 3.8% to Rs 13,279 crore. In constant currency, gross revenue declined 6.5%, while the Direct business (95% of revenue) declined 5.2%. Revenue through the DXC channel fell 32% to Rs 421 crore. Transaction-based revenue fell 26%. Acquisitions contributed about Rs 547 crore of revenue.

Profitability: Gross margin improved 50 bps to 27.7%, but higher selling expenses (7.0% of revenue versus 6.3%) lowered operating margin to 15.1% from 15.3%. Finance costs rose 65% to Rs 161 crore as borrowings increased. Net profit fell 5.1% to Rs 1,555 crore.

Acquisitions and Balance Sheet: The company acquired Kore.ai's professional services business (USD 60 million), eBecs (USD 17 million), Sonnick Partners (USD 122 million) and completed the Mrald business combination (GBP 3 million). Goodwill rose by Rs 1,221 crore to Rs 4,179 crore, and current borrowings rose to Rs 1,544 crore from Rs 198 crore.

Cash and Working Capital: Operating cash flow rose 49% to Rs 2,180 crore. Days sales outstanding improved to 66 from 71, and cash and investments stood at Rs 3,907 crore (USD 468 million) at year end.

Key Risk Factors

- 1. Client Concentration:** The top client contributed 14% and the top 10 clients 54% of FY2024 revenue (FY2023: 17% and 60%). Loss of or reduced spending by a major client would materially affect results.
- 2. Vertical Concentration:** Banking and Financial Services contributed 48% of revenue and declined 13.3% in FY2024, making the company sensitive to financial services and mortgage cycles.
- 3. Geographic and Currency Risk:** The Americas contributed 80.4% of gross revenue. Most revenue is earned in foreign currency, and cash flow hedges reclassified to revenue cost Rs 55 crore in FY2024.
- 4. Acquisition Integration:** Four acquisitions added Rs 1,221 crore of goodwill in FY2024. Underperformance of acquired businesses could lead to impairment.
- 5. Leverage:** Current borrowings rose to Rs 1,544 crore at March 31, 2024 from Rs 198 crore, increasing finance costs.
- 6. Channel Risk:** Revenue from the DXC channel continued to decline, falling to 3.2% of gross revenue from 4.5%.

Dividend and Capital Return

Particulars	FY2024	FY2023
Dividend per Share (Rs)	55.00	50.00
Dividend per Share / Basic EPS	66.7%	57.4%
Dividend Paid in Cash Flow (Rs Crore)	943	865
Estimated Outflow on Proposed Dividend (Rs Crore)	1,040	n.d.
Share Buyback (Rs Crore)	Nil	Nil

The Board recommended a dividend of Rs 55 per equity share of Rs 10 for FY2024, subject to shareholder approval at the AGM on July 25, 2024, implying an outflow of about Rs 1,040 crore. The FY2023 dividend of Rs 50 per share was paid during FY2024. Mphasis pays a single annual dividend; no interim dividend was declared.

Notes to Financial Statements (Selected)

Note 1 - Basis of Preparation: The consolidated results are prepared under Ind AS specified under Section 133 of the Companies Act, 2013, and were approved by the Board on April 25, 2024.

Note 2 - Acquisitions: Kore.ai professional services (June 2023, USD 60 million payable over three years, goodwill Rs 275 crore); eBecs Limited (July 2023, USD 17.2 million, goodwill Rs 128 crore); Sonnick Partners LLC (October 2023, USD 122.4 million, goodwill Rs 745 crore); and Mrald (December 2023, GBP 3 million, goodwill Rs

17 crore).

Note 3 - Contingent Consideration: Contingent consideration of Rs 200 crore that was no longer payable was reversed during FY2024.

Note 4 - Segment Reorganisation: Effective April 1, 2023, certain customers were regrouped among operating segments in line with the go-to-market strategy, and comparatives were restated.

Note 5 - Pro Forma Revenue: Had all FY2024 acquisitions occurred on April 1, 2023, management estimates consolidated revenue would have been Rs 13,583 crore, with profit not significantly different.

Independent Auditor Report

B S R & Co. LLP, Chartered Accountants (Firm Registration No. 101248W/W-100022), issued an unmodified opinion on the consolidated annual financial results for the year ended March 31, 2024, concluding that they give a true and fair view in conformity with Ind AS.

The report was signed in Bengaluru on April 25, 2024 by Amit Somani, Partner.

Sources

Mphasis outcome of board meeting with audited consolidated results, April 25, 2024:

mpphasis.com/content/dam/mpphasis-com/global/en/investors/governance/outcome-of-board-meeting-results-q4.pdf

Mphasis Group Financial Overview and Trends, Q4 FY24:

mpphasis.com/content/dam/mpphasis-com/global/en/investors/financial-results/2024/q4-group-overview-mda.pdf